THE INSTITUTE OF
Company Secretaries of India
भारतीय कम्पनी सचिव संस्थान
IN PURSUIT OF PROFESSIONAL EXCELLENCE
Statutory body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

Friday, February 14, 2025

Info Capsule

President
CS Dhananjay Shukla
Vice President
CS Pawan G Chandak

❖ *Ministry of Consumer Affairs, Food & Public Distribution*

Indian Standards should be accorded top priority: Centre (February 13, 2025)

Implementation of Indian Standards should be accorded top priority, said Smt. Nidhi Khare, Secretary, Department of Consumer Affairs, Government of India while chairing an inter-ministerial meeting on Implementation of Standards - Bringing more products under Quality Control Orders (QCOs) in New Delhi. The Secretary emphasized on the role of QCOs in achieving the aim of 'Atma Nirbhar Bharat" considering its twin objectives of uplifting quality ecosystem in domestic market and curbing sub-standard imports.

***For details**: https://economictimes.indiatimes.com/news/economy/foreign-trade/india-may-cut-more-import-taxes-as-manufacturing-picks-up-speed/articleshow/117999967.cms*

❖ *Ministry of Commerce & Industry*

DPIIT partners with Rukam Capital and Bootstrap Incubation to boost India's startup ecosystem (February 13, 2025)

Department for Promotion of Industry and Internal Trade (DPIIT) announced partnership with Rukam Capital and Bootstrap Incubation & Advisory Foundation on 10th February, 2025 (Monday) to propel holistic growth of India's startup ecosystem.

According to DPIIT, this collaboration, formalized through a Memorandum of Understanding (MoU), is aimed at creating dedicated programs and initiatives that empower product startups, innovators, and entrepreneurs across the country.

Their efforts will include providing access to critical resources such as infrastructure, mentor networks, funding opportunities, market linkages, and an extensive knowledge repository. Additionally, they will guide startups in achieving key milestones such as prototype development and offer strategic support for international expansion.

***For details**: https://pib.gov.in/PressReleasePage.aspx?PRID=2102758*

❖ *Ministry of Finance*

Public Sector General Insurance Companies (PSGICs)- Achieve Strong Financial Turnaround, become profitable again (February 13, 2025)

Indian Public Sector General Insurance Companies (PSGICs), that historically reported losses, witnessed a major turn around with all of them having become profitable again. While Oriental Insurance Company Ltd. (OICL) and National Insurance Company Ltd. (NICL) started posting quarterly profits from Q4 of F.Y. 2023-24 and Q2 of F.Y. 2024-25 respectively, United India Insurance Company Ltd. (UIICL) posted profit in Q3 of FY 2024-25 after a gap of 7 years. Notably, New India Assurance Company Ltd. (NIACL) has consistently maintained its position as a Government market leader and has been making profits regularly.

of India has been committed to creating strong and competitive Public Sector General Insurance Companies and introduced reforms including regular key performance indicators-based monitoring. Union Government had also infused a total capital Rs.17,450 Crore in these PSGICs during 2019-20 to 2021-22 with the aim of allowing these companies to undertake structural reforms, enhance operational efficiencies, and return to profitability.

***For details:** https://pib.gov.in/PressReleasePage.aspx?PRID=2102941*

❖ *ESG update*

Vedanta Ltd ESG Commitment

- The patented "Vedanta lining design" significantly improves energy efficiency and extends the lifespan of smelting pots, aligning with the Company's commitment to self-reliant sustainable production and environmental, social, and governance (ESG) goals.
- Vedanta is committed to achieve net Zero carbon by 2050 with a planned US $ 5 billion investment over the next decade.
- The Company conducted a comprehensive stakeholder engagement and materiality exercise in F.Y 2022-23 and revised these parameters in F.Y 2023-24.
- Board hours spent ratio (Making time count): ESG Governance 50% and ESG Performance 50%

For details: *https://www.vedantalimited.com/vedantaFY24/pdf/vedanta-ar2024-18.06.2024-high-res.pdf*

❖ *Consultation Papers by Regulators*

Consultation Paper on Draft Circular on "Strengthening of ESG Rating Providers (ERPs)" (February 13, 2025)

SEBI has uploaded a consultation paper on its website seeking comments/views/ suggestions from the public on Draft Circular on Strengthening of ESG Rating Providers (ERPs).
The proposed circular outlines revised regulations for ESG rating withdrawal, disclosure requirements, internal audit timelines, and governance norms. SEBI aims to refine the operational framework of ERPs to enhance transparency and reliability in ESG assessments.
The comments/suggestions may be submitted by using SEBI online platform latest by March 06, 2025 in the prescribed format.

For details:
https://www.sebi.gov.in/web/?file=https://www.sebi.gov.in/sebi_data/attachdocs/feb-2025/1739435634371.pdf#page=1&zoom=page-width,-15,842

❖ *Business & Economy*

India, US deepen energy ties: Washington hopes to become top oil and gas supplier to New Delhi, says Trump (February 14, 2025)

India and the United States have reached an agreement that will make Washington "a leading supplier of oil and gas to India", which could help bridge the trade deficit between the two countries, US President Donald Trump announced after his meeting with Prime Minister Narendra Modi in Washington on Friday. Trump added that the US will "hopefully be" India's top oil and gas supplier.

India's Foreign Secretary Vikram Misri later said that there is a "good chance" that India's oil and gas purchases from the US will grow to $25 billion a year soon from around $15 billion last year. India is already a significant buyer of American oil and gas. The US is India's fifth-largest supplier of crude oil and also a top supplier of liquefied natural gas (LNG).

For details:
https://indianexpress.com/article/business/india-us-energy-ties-donald-trump-pm-narendra-modi-meeting-9835540/

❖ *Direct Tax*

30.05.2024	Sanjay Baweja v. DCIT	Delhi High court

Compensation Received From 'Flipkart' for Loss in Value of ESOP Due to Disinvestment Not Taxable as Perquisite

Facts of the Case:

The petitioner was an ex-employee of Flipkart Internet Private Limited (FIPL), a wholly-owned subsidiary of Flipkart Marketplace Private Limited (FMPL). FMPL was a wholly-owned subsidiary of Flipkart Pvt. Ltd., Singapore (FPS). In 2012, FPS rolled out an Employee Stock Option Plan (ESOP) called the Flipkart Stock Option Plan (FSOP).

The petitioner was granted 1,27,552 stock options from 01.11.2014 to 31.11.2016 with a vesting schedule of 4 years. On 23.12.2022, FPS announced the disinvestment of its wholly-owned subsidiary called PhonePe. Thereafter, the value of FPS's stock options fell, and FPS decided to grant the option holders a payment of USD 43.67 per option as compensation for the loss in the value of the options. It was also stated that the FPS would be withholding tax on the compensation, considering it to be a perquisite under Section 17(2)(vi). The petitioner filed an application under Section 197 seeking a 'Nil' deduction certificate.

The Assessing Officer (AO) rejected the application, and the matter reached the Delhi High Court.

Judgement:

The High Court held that the amount in question could not be considered as a perquisite under Section 17(2)(vi) as the stock options were not exercised by the petitioner, and the amount in question was a one-time voluntary payment made by FPS to all option holders in lieu of the disinvestment of PhonePe business.

The most crucial ingredient of the inclusive definition of perquisite is the determinable value of any specified security received by the employee by way of transfer/allotment, directly or indirectly, by the employer. As per Explanation (c) to Section 17(2)(vi), the value of specified security could only be calculated once the option is exercised. A literal understanding of the provision would provide that the value of specified securities or sweat equity shares is dependent upon the exercise of option by the petitioner. Therefore, for an income to be included in the inclusive definition of "perquisite", it is essential that it is generated from the exercise of options, by the employee.

In this case, Even though the right to exercise an option was available to the petitioner, the amount received by him did not arise out of any transfer of stock options by the employer. Rather, it was a one- time voluntary payment not arising out of any statutory or contractual obligation.

❖ *Market Watch*

Stock Market Indices as on 14.02.2025	
S & P BSE Sensex	75939.21(-0.26%)
Nifty 50	22929.25(-0.44%)

Foreign Exchange Rates as on 14.02.2025
(https://m.rbi.org.in//scripts/ReferenceRateArchive.aspx)

INR / 1 USD	INR / 1 EUR	INR / 1 GBP	INR/ 1 JPY
86.88	90.85	109.12	.56

❖ *Pronouncement*

07.02.2025	Deloitte Haskins & Sells Llp(Petitioner) V Union Of India & Anr (Respondents) along with other Writ Petitions	Delhi High Court

In this case the petitioners *inter alia* challenged the validity of Section 132 of the Companies Act, 2013 and the NFRA Rules. The major grounds of challenge were of vicarious liability, retroactive operation and a violation of Article 20(1) of the Constitution of India.

An attempt has been made to categorize the few important excerpts of conclusions of the Judgement of Hon'ble High Court of Delhi. These excerpts include the following:

(i) Vicarious Liability

The relationship between a firm and its members while delivering auditing services is one of complete integration, where roles and responsibilities overlap to ensure the highest levels of professional service. The nature of such services does not permit a firm to distance itself from the actions of its partners, especially when those actions are performed in furtherance of the firm's obligations.

The Hon'ble Court held that Section 132 is neither an overreach nor can it be said to be arbitrary; it is a necessary mechanism to enforce professional accountability. The firm's designation as an auditor inherently includes the collective responsibilities of its members, making the imposition of a vicarious liability a logical and justified extension of its statutory obligations.

(ii) Retrospective Operation

A consideration of the legislative history preceding the introduction of Section 132 clearly suggests that a pre-existing regulatory deficiency or gap was sought to be addressed through the introduction of Section 132 aligning with the broader objective of strengthening oversight mechanisms and enhancing the quality of professional services rendered by audit firms….

The enactment of Section 132 thus represents a progressive regulatory shift, aimed at reinforcing compliance, raising the bar for audit quality, and ensuring that no aspect of professional misconduct or deficiency in service remains unchecked or unsupervised….

This regulatory evolution does not operate retrospectively in a punitive sense but rather brings India's auditing and financial oversight framework in line with global standards, ensuring that all professional conduct meets the highest levels of scrutiny and quality assurance.

(iii) Double Jeopardy

… The scope of Article 20(1) has thus been consistently explained to be confined to crimes and punishments as generally understood. An act of professional misconduct was liable to be penalised and punishment meted out as per a law which existed decades prior to the insertion of Section 132 in the Companies Act. Section 132, as noticed hereinabove, merely adopts the meaning assigned to misconduct by the Chartered Accountants Act, 1949 (CA Act) for the purposes of proceedings that may be initiated thereunder. The argument based on Article 20(1) is thus liable to be rejected on this score alone.

(iv) Principle of Natural Justice

The mere usage of the word 'summary' cannot lead one to presume that the procedure that the NFRA may ultimately adhere to, would be violative of the principles of natural justice. When Rule 11(5) uses the expression 'summary procedure' all that the rule-making authority perhaps intended to convey was that disciplinary proceedings would not be liable to be conducted in accordance with a procedure or rules of evidence which a court of law may be obliged to follow while trying a lis. In fact, that rule itself enjoins the authority to ensure adherence to the principles of natural justice….

(v) Performing and discharging the functions through divisions

As the court (we) view Section 132 of the Companies Act, there appears to be no doubt in our mind that the provision did and always contemplated the NFRA performing and discharging its functions through such divisions as may be constituted. While it is true that Rule 2(g), while defining the word 'division' includes one headed by a Chairperson or a full time Member, the Executive Body cannot possibly be construed to be a division in itself. A conjoint reading of sub-sections (3)(a) and (3)(b) appearing in Section 132 alongside the NFRA Rules, leads us to the irresistible conclusion that the statute clearly contemplated the discharge of functions enumerated in Rules 7 and 8 being undertaken by independent units or divisions of the NFRA.

We are thus of the firm opinion that the Executive Body could not have discharged the dual role of rendering findings of guilt and violation of the Standards on Auditing (SAs)' while authoring the SQARR/AQRR (Audit Quality Review Report) and thereafter don the mantle of the division which is contemplated under Rule 11….

Conclusion

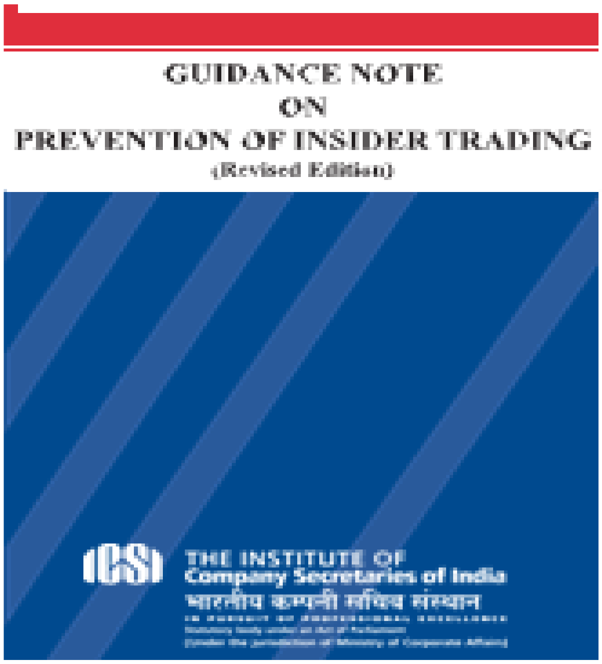
…., the court (we) uphold the validity of Section 132 and the NFRA Rules. We find no merit in the challenge based on the arguments of vicarious liability, retroactive operation and a violation of Article 20(1) of the Constitution.

… The prescription of a summary procedure for trial of disciplinary matters neither obviates nor relieves the NFRA from adhering to a procedure which is in consonance with the principles of fairness and natural justice.

…We would thus allow the instant writ petitions and quash the impugned SCNs' and final orders assailed in this batch.

However, we leave it open to the NFRA to draw proceedings afresh if so chosen and advised from the stage of issuance of fresh notices based on the findings that have come to be recorded in the AQRRs'. The findings and conclusions appearing in the AQRRs' would be liable to viewed as merely being the expression of a prima facie opinion as opposed to definitive conclusions.

GUIDANCE NOTE ON PREVENTION OF INSIDER TRADING



About the Book

The Guidance Note on Prevention of Insider Trading covers the regulatory provisions of the SEBI (Prohibition of Insider Trading) Regulations, along with relevant circulars, sample disclosure formats, key case laws, and informal SEBI guidance.

This comprehensive resource is designed to promote a clear understanding and
ensure compliance with the PIT Regulations in both letter and spirit.

Year of Publication: 2022

Price: Rs. 300 /-

Weblink for Purchase:
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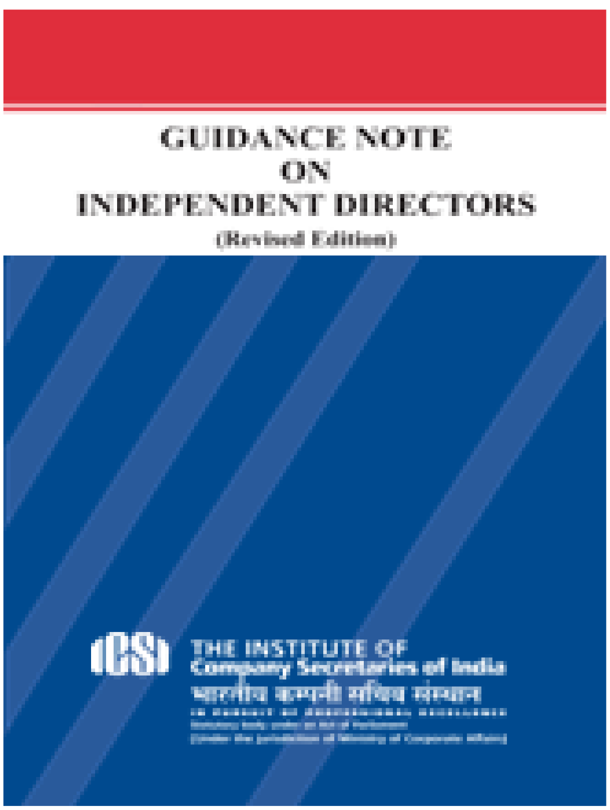
GUIDANCE NOTE ON INDEPENDENT DIRECTORS



About the Book

The Guidance Note on Independent Directors addresses key issues and challenges while including updated statutory and regulatory provisions, a code of conduct, and compliance requirements for independent directors.

Additionally, it offers thoughtful insights on various aspects of the topic to facilitate
a clear understanding and adherence to the law in both letter and spirit.

Year of Publication: 2022

Price: Rs. 300/-

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